which the fund invests.[215] We are proposing to permit funds to include more than one index in the table because we understand that in some cases this approach may help shareholders understand how the fund's performance compared to, for example, performance of both the broader market and the market sector in which the fund invests. These proposed amendments are designed to help shareholders more easily evaluate a fund's performance and risks relative to the market and to better align the information in the table with the current line graph presentation so a shareholder has contextual information to help assess both year-over-year returns and average annual returns over set periods. At the same time, we recognize concerns about the use of indexes in performance presentations, and we are seeking comment on our proposed approach.[216]

We further propose to modify the average annual total returns table to require funds to separately provide the average annual total returns with and without sales charges, as applicable.[217] Currently, the table is only required to include average annual total returns that reflect sales charges.[218] We believe comparative information about average annual total

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215 *See* Instruction 2(b) to Item 4(b)(2) of current Form N-1A; Instruction 2(b) to proposed Item 4(b)(2) of Form N-1A (amending the cross reference to the description of other more narrowly based indexes from Instruction 6 to current Item 27(b)(7) to Instruction 7 to proposed Item 27A(d)(2)); Instruction 7 to proposed Item 27A(d)(2) of Form N-1A.

216 *See supra* Section II.B.2.c.ii.

217 *See* proposed Item 27A(d)(2)(ii) of Form N-1A. One commenter on the Fund Investor Experience RFC prepared a mock summary shareholder report that included average annual total returns shown with and without sales charges, as applicable. *See* ICI Comment Letter I. Under the proposal, a fund that does not impose sales charges would only provide a single set of average annual total returns figures (*i.e.*, returns without sales charges).

218 *See* Item 27(b)(7)(ii)(B) of Form N-1A (requiring average annual total returns computed in accordance with Item 26(b)(1), which reflects sales charges in the calculation of returns). In connection with the proposed amendment, we propose to add a new computation instruction to explain that funds should calculate average annual total returns without sales charges in

returns with and without sales charges may help shareholders better understand the impact of sales charges on the returns of their investments. We also believe that additional information about average annual total returns without sales charges may help shareholders better compare the fund's returns to that of a relevant index.[219]

We also propose to add a new instruction for the average annual total returns table to require a fund to provide average annual total returns information for each class the shareholder report covers.[220] This is consistent with the prospectus average annual total returns table, which must reflect average annual total returns for every class a prospectus covers.[221] We believe it is important for shareholders to receive performance information that directly relates to the class in which they invest. Because each class can have different expenses that affect the class's returns, performance information for each class would allow a shareholder to understand the performance of his or her investment better and to compare performance among the classes the report covers.[222] While the proposed shareholder report expense disclosure would include class-specific performance information for the reporting

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accordance with Item 26(b)(1) of Form N-1A, except the fund should not deduct sales charges as otherwise described in the instructions to that item. To provide a fund's 1-year annual total return without sales charges, a fund would use the same 1-year total return figure reflected in its most recent audited financial highlights. *See* Instruction 5 to proposed Item 27A(d)(2) of Form N-1A.

219 Further, the proposed requirement to present the fund's annual total return without sales charges for the last fiscal year would align with audited information shareholders currently receive in the financial highlights section of shareholder reports. *See* Item 27(b)(2) of Form N-1A; Instruction 3 to Item 13(a) of Form N-1A. We understand that some shareholders review financial highlights information when assessing and monitoring their fund investments. *See, e.g.*, *supra* footnote 52.

220 *See* Instruction 13(b) to proposed Item 27A(d)(2) of Form N-1A.

221 *See* Instruction 3(c)(i) to Item 4(b)(2) of Form N-1A.

222 *See* 1998 Form N-1A Prospectus Amendments, *supra* footnote 213, at text accompanying n.66.

period, the average annual total returns table would provide class-specific performance information over a longer time period. Further, although the line graph in the annual report similarly provides longer-term performance information, it is not currently required to include information for each class (nor are we proposing to require this, because we recognize that additional lines in the graph for each class may make the graph difficult to read). Additionally, under the proposal, shareholders generally may not receive annual prospectus updates, which include class-specific returns, and would instead receive prompt notices of certain material changes that generally would not include this information. As a result of these considerations, we believe the average annual total returns table in the shareholder report should include information for each class the report includes.

Currently, funds must include a statement accompanying the line graph and table to the effect that past performance does not predict future performance, and that the line graph and table presentations do not reflect taxes that a shareholder would pay on fund distributions or redemptions.[223] We propose to simplify the statement about past performance. Specifically, under the proposed amendments, a fund would be required to include a statement to the effect that the fund's past performance is not a good predictor of how the fund will perform in the future.[224] We propose to require funds to use text features to make this statement noticeable and prominent through, for example, graphics, larger font size, or different colors or font

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223 *See* Item 27(b)(7)(ii)(B) of Form N-1A.

224 *See* proposed Item 27A(d)(2)(iii)(A) of Form N-1A. We also propose to make a conforming change to similar language that must appear in the prospectus. *See* proposed amendments to Item 4(b)(2) of Form N-1A.

styles.[225] Under the proposal, funds would continue to be required to state that the disclosed performance information does not reflect the deduction of taxes that a shareholder would pay on fund distributions or the redemption of fund shares to alert investors to these tax consequences.[226]

Additionally, we propose to add a new instruction allowing funds to add brief additional disclosure that would contextualize the line graph and average annual returns table they include in their shareholder reports. Specifically, the proposed instruction provides that if a material change occurred to the fund during the relevant performance period, such as a change in investment adviser or a change to the fund's investment strategies, the fund may include a brief legend or footnote to describe the material change and when it occurred.[227] We believe this additional disclosure could help shareholders understand potential changes in fund performance related to material fund changes that have occurred during the relevant performance period.[228] Under the proposal, funds would have discretion to determine when to disclose information about a prior material change to a fund in connection with its performance presentation. We are proposing a discretionary approach, instead of requiring funds to include this disclosure for all material changes, because we recognize that some

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225 *See* proposed Item 27A(d)(2)(iii)(A) of Form N-1A.

226 *See* proposed Item 27A(d)(2)(iii)(B) of Form N-1A.

227 *See* Instruction 14 to proposed Item 27A(d)(2). In addition, consistent with current Form N-1A requirements, if a fund uses an index in a shareholder report that is different from the index used for the immediately preceding reporting period, the later report would need to explain the reason(s) for the change and disclose the returns of both the new and former indexes. *See* Instruction 7 to Item 27(b)(7)(ii) of Form N-1A; Instruction 8 to proposed Item 27A(d)(2) of Form N-1A.

228 *See* Blanchard Comment Letter (suggesting that identifying fund changes that may have changed a fund's performance would improve current fund performance presentations).

material changes to a fund may not affect a fund's performance, or may have only an insignificant effect on performance. Although a fund generally would be able to use discretion to determine when to disclose a prior material change in connection with its performance presentation, a fund would need to disclose information about such a change if, absent that disclosure, the fund's performance presentation would otherwise be misleading.[229]

While we believe it is beneficial for shareholders to receive information about a fund's performance in the annual report each year, we understand that funds provide more current, ongoing performance information through other mechanisms, such as their websites. We are proposing to require funds that provide updated performance information through widely accessible mechanisms, such as fund websites, to include a statement in the shareholder report directing shareholders to where they can find this information.[230] If a fund were to include such a statement, it also would be required to provide a means of facilitating access to the updated performance information, including, for example, a hyperlink to where the information may be found if the shareholder report is provided electronically or a URL address or QR code if the shareholder report is delivered in paper format.[231]

We request comment on the proposed average annual total returns table and associated amendments, including the following:

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229 *See, e.g.*, rule 8b-20 under the Investment Company Act [17 CFR 270.8b-20].

230 *See* Instruction 15 to proposed Item 27A(d)(2).

231 *See* Instruction 9 to proposed Item 27A(a); *see also infra* footnotes 342 and 343 and accompanying paragraph. Consistent with this instruction, a fund could provide a direct link to the updated performance information or a link to a central site that provides a direct link to the fund's updated performance information.